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October 9, 2024

Ms. Vanessa Countryman
Secretary, U.S. Securities and Exchange Commission
100 F Street NE
Washington, D.C. 20549-1090

RE: **File No. 10-242; Application of 24X National Exchange LLC for Registration as a National Securities Exchange**

Dear Ms. Countryman:

Investors Exchange LLC ("IEX") is writing to express its views with respect to certain issues raised by the application submitted by 24X National Exchange LLC ("24X") for registration as a national securities exchange ("24X Application").[1]

IEX welcomes innovation and competition among exchanges and other participants. For the purpose of this letter, we express no views as to whether or when exchanges in general should extend trading hours to operate on a 24-hour basis. We believe, however, that certain aspects and ramifications of the 24X Application are important and have not been sufficiently addressed by 24X or others. We believe more information and analysis on the points raised below is critically needed before the Commission can reasonably determine whether to approve the 24X Application.

Market-Wide Implications

First, approval of the application would not impact 24X only but has significant market-wide implications. These stem in large part from the need to overhaul the market data infrastructure to allow publication of quote and trade data by the securities information processors ("SIPs").

There is no precedent or justification for exchanges producing displayed quotes and matching trades without providing that data to the SIPs. 24X does not contest the need to overhaul the infrastructure to accommodate its application.[2] Without those changes to SIP operations, 24X would be the exclusive source of data for displayed best bid and offer prices ("BBO") in every NMS security during a majority of trading hours. The impact on the BBO means that participants would need to be able to monitor the impact of overnight trading on their positions, but without the SIP enhancements, they could not rely on the independent public data feeds to do so.

The required change to the SIPs undoubtedly amounts to a huge undertaking. For one, the number of hours of operation would more than double. Presently, the SIPs carry data from

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[1] *See* https://www.sec.gov/rules-regulations/other-commission-orders-notices-information/24x-form-1.
[2] In its recent amendment to the 24X Application, 24X states that launching its overnight and weekend 24X Market Session would be contingent on the completion of the SIP changes, or on the issuance of an exemption by the Commission of unknown duration until this occurs. 24X does not explain in the application why such an exemption would be appropriate. *See* Letter from David Sassoon, General Counsel, 24X, to Vanessa Countryman, Secretary, SEC, dated August 21, 2024 ("Sassoon Letter"), at 7-8.

exchange quoting and trading from 4 a.m. until 8 p.m., Monday through Friday, or 80 hours per week. This would increase to 168 hours, including both overnight and weekend trading. The SIPs would need to add substantial additional technology and personnel resources to accommodate a new trading session. The cost and timeline for these changes have not yet been determined. Under the SIP plans and precedent, if 24X is the only exchange offering a 24-hour trading session, it would be solely responsible for funding these changes. But it has not acknowledged that it would be responsible for funding the work required, nor has it provided any information about its ability to do so.

Further, the SIPs would incur increased ongoing costs to maintain these extended hours. These also have not been determined but are likely to be substantial. These costs, in comparison to build-out costs, likely would be borne by all SIP subscribers, regardless of whether they participate in overnight trading.

In addition, because of the significance of displayed quotations and transaction prices to stock valuations, many trading firms and other participants will need to be able to monitor the prices published during overnight and weekend hours, whether or not they wish to trade during those hours. This is particularly the case given that, as amended, the 24X Application does not include any volatility limits other than those that may exist under 24X's "clearly erroneous" rule.[3]

The potential market benefits that would justify these increased costs have not been established. The extension of pre- and post-market trading to 4 a.m. and 8 p.m. (with very little trading occurring before 8 a.m. or after 6:30 p.m.) has evolved incrementally in response to market demand. In contrast, the demand by investors for overnight and weekend exchange trading seems speculative. 24X suggests that retail investors would welcome the flexibility offered by 24-hour exchange trading, but retail investors today have multiple ways to submit orders outside of conventional market hours. Extended exchange hours could provide a potential benefit for retail investors who wish to engage in "day trading" overnight or on weekends, but no information has been provided about the number of such investors or the relevance of the potential benefit.

Implications of the Proposed Outsourcing Model

The second set of concerns arises from the proposal by 24X to outsource all of its technology needs, along with all of the maintenance and remediation of technology issues, to MEMX Technologies, LLC ("MT"), an affiliate of the MEMX exchange. This proposal is distinct from the existing common practice of exchanges and other venues to outsource discrete technology elements to individual vendors based on the expertise provided by each vendor, subject to oversight of the vendors by the exchange as required by Regulation SCI.

For one thing, the exclusive reliance on a single vendor raises questions about the availability of resources by MT to fill that role. It also necessarily raises questions about the ability of 24X to independently manage its technology needs, determine the need for modification and remediation, identify security vulnerabilities, and in general oversee the work of the exclusive vendor. Further, 24X in its recent amendments to the application disclosed that it may also use MT for operational support. This raises additional conflicts concerns, which 24X addresses only

[3] *See* Sassoon Letter, at 5-6.

by representing that MT operational staff working for 24X "will only be able to access either MEMX Exchange or 24X trade data in the course of a single trading day".[4]

Regardless of whether that limitation could be sufficient to address the specific concern about access of MT personnel to 24X trading data, the file contains little if any information about management of conflicts more generally. The application states only that "the trading platforms ***operated by*** MEMX Technologies (including 24X National Exchange LLC, MEMX Exchange, and any other exchanges or trading platforms operated by MEMX Technologies) currently are and will be segregated to ensure that 24X is not deemed to be a facility of MEMX Exchange."[5] There are no details disclosed about the nature and extent of such segmentation, or how it will be enforced. The record also lacks information about the financial terms of 24X's agreement with MT and about what type of separation may exist between MT and MEMX.[6] Further, there are no statements in the file by MEMX or MT addressing any of these questions.

These concerns may be magnified to the extent that other exchanges propose to make use of this same exclusive "white label" technology solution by the same vendor to meet their technology needs, as has been widely reported. Under that construction, MT would appear to be performing in effect a technology utility function for multiple regulated exchanges, but it would not be a regulated entity itself, and the Commission would have limited ability to evaluate, and no ability to control, how it performs that critical function.

For example, since multiple exchanges relying on MT would all be using individual instances of the same underlying hardware and software for all their operations, a security vulnerability affecting this underlying technology could easily affect all of them, potentially at the same time. In this type of circumstance, the ability and resources of the vendor to effectively triage issues arising on multiple markets, in a way that does not favor some markets over others, would become critical. The Commission has no basis at present for understanding the magnitude of this type of risk or how it might be mitigated.

Finally, the fact that some other technology vendors provide comprehensive technology support for certain international venues or for alternative trading systems does not obviate the need to address these issues. Other existing examples do not involve exclusive reliance on a single technology provider (affiliated with one exchange) for multiple U.S. registered exchanges, which are subject to comprehensive regulatory oversight because of the unique and indispensable roles they play in the national market system.

Conclusion

IEX believes that a move to 24-hour exchange trading is worthy of serious consideration, but taking that step requires deliberate consideration of the cost and complexity of the overhaul to market-wide infrastructure, measured against the potential benefits, as well as a clear understanding of who will incur the costs and who may benefit. Separately, the 24X Application poses questions about the ramifications of one or multiple exchanges relying on a single exclusive entity to provide all their technology needs and to operate their platforms. These

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[4] 24X Application, Exhibit C amended as of August 21, 2024, avail. at https://www.sec.gov/files/rules/other/2024/24x-amend-exhibit-c-redline.pdf.
[5] *Id.*
[6] MT is not identified or profiled on the MEMX website, and there appears to be no separate website hosted by MT.

include questions of resources, conflicts, and Commission oversight. We believe the Commission needs much more information and better justification than have been provided before the 24X Application could be approved.

Sincerely,

John Ramsay
Chief Market Policy Officer, IEX

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